investment management services, liquidity, strong government-backed regulatory help, professional service, and all these at a low cost. An investor, by investing in a mutual fund scheme that has blue chip stocks in its portfolio, indirectly gets an exposure to these stocks. Compared to this, if the same investor wants to have each of these stocks in his portfolio, the cost of buying and managing the portfolio will be much higher.

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1. Based on the discussion in Samuelson and Nordhaus, ***Economics,*** op.cit., pp. 543–545.
2. Based on Stiglitz and Walsh, ***Economics,*** op.cit., pp. 612–14.
3. Reports on Currency and Finance, RBI, GoI, N. Delhi.
4. Reports on Currency and Finance, RBI, GoI, N. Delhi, 2002.
5. Based on the various Reports of the RBI.
6. **Annual Report of RBI**, GoI, N. Delhi, 2006.
7. **India 2013,** Pub. Div., GoI, N. Delhi, pp. 340-342.
8. **Industrial Policy Resolution, 1956,** MoI, GoI, N. Delhi.
9. **Economic Survey 2012–13** MoF, GoI, N. Delhi. p. 116.
10. In the capital market, money is traded on ***interest rate*** as well as on ***dividends***. Long-term loans are raised on well-defined interest rates while long-term capital is raised on dividends through the sale of shares.
11. Such financial assets are known as ‘close substitutes for money’.
12. The only instrument of the money market was the Treasury Bills which were sold by tender at weekly auctions

    upto 1965. But after that these bills were made available throughout the week at discount rate by the

    RBI (***Suraj B. Gupta, Monetary Economics***, S. Chand, N. Delhi, 2007, p. 50).
13. ***Review of the Working of the Monetary System*** headed by Sukhomoy Chakravarthy, RBI, N. Delhi, 1985.
14. ***Working Group on Money Market*** (Vaghul Committee), RBI, N. Delhi, 1987 (headed by M. Vaghul, The chairman ICICI, set up 1986).
15. Based on the suggestions of the experts belonging to the Indian financial market.
16. ***Economic Survey 2001–02*** & ***2009–2010*** MoF, GoI, N. Delhi.
17. ***Report on Currency and Finance 1999–2000***, RBI, GoI, N. Delhi.
18. It was in 1979 that the ***Chore Committee*** first time recommended for a discount house to level the liquidity imbalances in the banking system. The Government became active after the recommendations of the Working Group on the Money Market (***i.e. the Vaghul Committee, 1987***) and did set up the DFHI in 1988. The Vaghul Committee suggested to set up a discount finance institution which could deal in the short-term money market instruments so that liquidity could be provided to these instruments. The committee also recommended the house